

TILA Exemptions

Not every extension of credit (including loans for the purchase of real property) falls under the Truth in Lending Act (TILA) disclosure rules. TILA applies to consumer loans. Therefore, commercial and agricultural credit, such as a loan to buy an agricultural property for farming purposes, are exempt from TILA disclosure requirements.

However, TILA does apply if the purpose of the loan is consumer (personal or family), even if the collateral used isn't personal.

Example

Leroy purchased a 10-acre dairy farm. Because this is a commercial venture, TILA disclosure requirements don't apply.

Example

Sinclair applied for a home loan. He put up his doggy day care business building as collateral. Because the purpose of the loan is personal, TILA applies.